STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	CASE 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	CASE 19-G-0310

REPLY BRIEF OF THE PUBLIC UTILITY LAW PROJECT OF NY

Dated: April 21, 2020

Table of Contents

I. INTRODUCTION ..... - 4 -

II. PROCEDURAL HISTORY ..... - 5 -

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS ..... - 6 -

IV. REVENUES ..... - 7 -

A. Gas Sales Forecast ..... - 7 -

B. Newtown Creek Imputation ..... - 8 -

V. EXPENSES ..... - 10 -

A. Operation and Maintenance ..... - 10 -

1. Consultants to subsection to 7. Productivity ..... - 10 -

8. Uncollectible Expense (KEDNY and KEDLI) ..... - 10 -

9. Site Investigation and Remediation ("SIR") (KEDNY and KEDLI) ..... - 10 -

10. Savings (Accelerate Program) to subsection 11. Paving ..... - 11 -

12. Safe Staffing Levels ..... - 11 -

B. Amortization of Regulatory Deferrals to section D. Property Taxes. ..... - 12 -

E. Amortization of Excess Accumulated Deferred Federal Income Taxes: Timing of Amortization/Return to Ratepayers of Annual Excess Deferred (EDFIT) for Unprotected Plant and Non-Plant Balances ..... - 12 -

F. Amortization of Expenses to section G. CSC O&M Tracker ..... - 13 -

VI. RATE BASE ISSUES ..... - 13 -

A. Capital Projects and Expenditures through section D. Earnings Base Capitalization / Working Capital - City/State Construction Accounts Receivable Balance ..... - 13 -

VII. FINANCIAL ISSUES ..... - 13 -

A. Return on Equity ..... - 13 -

1. ROE Methodology to subsection 5. ROE Recommendation ..... - 13 -

6. Impact of COVID-19 and Oil Price Decreases on Cost of Capital ..... - 14 -

7. Rate of Return/Cost of Capital ..... - 14 -

B. Capital Structure ..... - 14 -

C. Long Term Debt: Forecasting Using Future versus Existing Rates ..... - 14 -

D. Credit Metrics ..... - 15 -

E. Earnings Sharing Mechanism ..... - 15 -

1. The Commission Should Reject the Companies' Proposed Metrics ..... - 15 -

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES ..... - 15 -

A. ECOS Study to section C. Long Term Debt: Forecasting Using Future versus Existing Rates - 16 -

D. Bill Impacts ..... - 16 -

E. Non-Firm Service Classes to D. Lost and Unaccounted for Gas: ..... - 16 -

IX. GAS POLICY AND ENERGY ..... *- 16 -*

A. Energy Efficiency to section R. Proposed Changes to Supply Planning Process ..... **- 16 -**

X. GAS SAFETY ..... *- 17 -*

A. Performance Metrics to section F. Service Line Inspections ..... **- 17 -**

XI. CUSTOMER SERVICE ..... *- 17 -*

A. Customer Service Performance Metrics; Performance measures in a one-year case ..... **- 17 -**

B. Terminations/Uncollectible Incentive Mechanism ..... **- 17 -**

C. Credit/Debit Card Payments and Fees ..... **- 19 -**

D. Collections ..... **- 19 -**

1. Customer Communications in Bill Inserts Regarding HRA/DSS Status Changes and Other Explanations ..... - 19 -

2. Automatic Suspension Of Collection/Extension Of Time To Pay For Customers On Public Assistance ..... - 19 -

3. Deferred Payment Agreements: Implementation of electronic DPAs and reporting requirement; KEDNY requirement for customer physical appearance at customer service center to demonstrate need for more affordable DPA terms ..... - 19 -

E. Customer Service Enhancements: Creation of a Customer Portal ..... **- 22 -**

F. Outreach and Education to section Economic Development Programs ..... **- 23 -**

XII. LOW INCOME PROGRAM ..... *- 23 -*

A. Calculating Discounts and Eligibility ..... **- 23 -**

B. Budget and Low-Income Program Offerings to section H. Elimination of reconnection fees for Energy Affordability. ..... **- 23 -**

XIII. MANAGEMENT AUDIT COMPLIANCE ..... *- 24 -*

XIX. CONCLUSION ..... *- 24 -*

I. INTRODUCTION

The Public Utility Law Project, Inc. ("PULP") submits this Reply Brief to refute and/or respond to questions raised or conclusions made by other parties in their initial briefs. In addition, pursuant to 16 NYCRR § 4.7(d), PULP is using this Reply Brief to object to Your Honors' April 7, 2020 denial of PULP's April 2, 2020 letter motion (hereinafter "Motion").

PULP's Reply Brief does not address every attempt by the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") to satisfy their burden to prove that each substantive element individually or as a whole is just and reasonable and is consistent with sound environmental, social and economic policies of the Public Service Commission ("PSC" or "Commission") and of New York State. PSL, § 66(12)(i). Nor does this brief contest every argument made by the Department of Public Service ("DPS") Staff or argue that DPS' positions are not in the public interest, except where expressly so stated.

PULP argues here however that no claim or argument presented by KEDNY/KEDLI or by DPS Staff has met the burden of proof that a rate increase of any kind in these cases, and particularly in these troubled economic times where the economic impact of rate cases must also be scrutinized, is in the public interest. Nor have any such arguments dissuaded PULP from the opinions and conclusions expressed in its initial brief. Now is not the time to proceed with a rate increase of any kind. Instead, rate relief for residential consumers and small businesses would be more appropriate despite DPS Staff not seeking such goals in these cases.

As discussed below, the other intervenors' initial briefs reinforce and supplement much of the reasoning and recommendations made by PULP. For many sections of the table of contents therefore, PULP has chosen to rely on its initial brief or on the initial briefs of the other intervenors and thereby does not address all subjects herein. PULP notes here that the absence of any discussion of specific topics in this reply is not and should not be construed as support for other parties' or the Companies' positions. PULP notes further that it maintains all of its positions, both testimonial and the initial brief, as if restated herein in detail, despite eliding the repetition of such testimony here in favor of concision. Finally, this Reply Brief agrees with DPS Staff and/or the Companies' positions as set forth here in summary, and stated with specificity throughout this brief:

- The need for the interest rates that are to be agreed upon or recommended in this case should be updated based upon interest rates and yield spreads in existence just prior to the Commission's decision;
- The need to reject KEDNY/KEDLI's proposed "Affordability Metric";
- The need to adopt DPS Staff's targets and model for the customer service quality performance metric; and
- The need to implement electronic deferred payment agreements without delay.

II. PROCEDURAL HISTORY

On March 30, 2020 the Public Utility Law Project, Inc. ("PULP") filed a Motion requesting that the Companies refresh the calculations and projections that underly their proposed revenue requirement (i.e., including but not limited to, projections of an inflation rate, calculations underlying a proposed ROE, calculations/projections of forward-looking commodity prices and sales, and other elements of a revenue requirement) due to the economic effects of COVID-19. On April 6, 2020 PULP filed its Initial Brief, which included fourteen specific conditions PULP believes are necessary to avert the Companies' substantial undermining of affordability during the evolving economic, political, and societal struggles that the Companies' ratepayers will face.

PULP continues to believe that the fourteen conditions are necessary to avert the Companies' substantial undermining of affordability during the evolving economic, political, and societal climate that the Companies' ratepayers face in the upcoming year(s) of the rate plan arising from this case, and beyond. Indeed, considering the economic impacts of the worsening economy and labor outlook caused by COVID-19, PULP advocates in our Reply Brief that no rate increase of any kind should be approved in this case. In the alternative, if the Commission decides to allow an increase, PULP respectfully suggests that it be limited to total bill impacts no greater than 2%. Further, PULP requests that any increase amount be "stayed" through a rate freeze or temporary rates until an austerity proceeding is completed, non-essential expenses are removed from the Companies' rate plans, the ROE is substantially reduced, and the debt to equity ratio is adjusted to lower revenues.

On April 7, 2020, Your Honors issued the denial of PULP's motion. In the denial, Your Honors discussed how,

> "... the Commission has the authority to employ one or more mechanisms to address the impact of recent events on this rate proceeding or that the current economic situation is worthy of consideration. The mechanisms the Commission may use here include setting temporary rates, requiring strict reconciliation protocols, or bringing the Companies back before the Commission during this one-year rate plan if rates can no longer be considered just and reasonable parties have the opportunity to advance the use of such mechanisms in their post-hearing briefs. But use of any of those mechanisms cannot be considered in a vacuum and should be viewed in light of the existing record here." April 7, 2020 Denial, pages 6-7.

As a result, PULP's Reply Brief specifically advances measures we believe will assist KEDNY/KEDLI residential customers who are struggling during these uncertain times, including but not limited to, the use of austerity plans, monthly reporting requirements regarding staffing levels and uniform customer protections. PULP is also working towards advancing a broader generic proceeding including every regulated New York State utility for the purposes of creating austerity plans akin to those created in 2009, and in order to create a uniform plan to assist residential customers now and once the COVID-19 health pandemic and its economic effects subside. PULP also explicitly reserves our right to object pursuant to 16 NYCRR § 4.7(d) through this reply brief to the Administrative Law Judges' ("ALJs"), April 7, 2020 denial of our Motion in this case.

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS

PULP acknowledges DPS Staff's efforts to lower the Companies' annual gas revenue requirements for KEDNY to approximately $30.588 million, or an increase of approximately 4.46% in delivery revenues and 3.08% in total revenues, and for KEDLI to $39.737 million, or a decrease of approximately 2.08% in delivery revenues and 1.43% in total revenues. DPS Staff, Initial Brief ("IB"), at pages 6-7. However, PULP remains opposed to the Commission approving or implementing any rate increase of any amount during the economic downturn created by the COVID-19 pandemic. In the alternative, if a smaller increase is to be ordered with total bill impacts no greater than 2%, PULP might not challenge such an increase, if the increase amount is "stayed" through a rate freeze or temporary rates until an austerity proceeding is completed in which parties are allowed to adduce economic impact evidence and

conduct discovery, and the Commission takes due account of the economic impacts of proposed rate increases, or rate increases already assured through multi-year rate plans.

Moreover, while the Companies provided rounds of revised revenue requirements before the end of 2019, and DPS Staff updated their recommendations during this rate case, it does not change the fact that New York State is now facing unprecedented financial harm and such updates were "stale" by the time the parties submitted briefs. *Id.* at 6. PULP consequently restates our belief that the public interest requires that all of the underlying financial figures, studies and analysis of this rate case should be updated before a Recommended Decision and/or Final Order are issued, due to the economic reality New York State now faces. This includes but is not limited to: economic and sales forecasts and calculations; testimony regarding future economic conditions and commodity costs; returns upon equity; ratios between equity and debt; potential staffing shortages and utility usage infrastructure necessary to for "safe and adequate service and just and reasonable rates;" and proposed "Earnings Incentive Mechanisms," "Earnings Adjustment Mechanisms," "Positive Revenue Adjustments," and "Negative Revenue Adjustments. Furthermore, parties must be able to provide economic impact evidence, so that they might be able to "identify a nexus between the evidence presented and specific problems at issue in the case at hand." *Cohalan v. Gioia*, 451 N.Y.S.2d 275, 276 (1982).

PULP also notes DPS Staff's acknowledgment in their Initial Brief that site investigation and remediation ("SIR") costs are one of the major rate drivers in this rate case. *Id.* at page 7. PULP reiterates our concerns as addressed in our Testimony, cross-examination, and Initial Brief that the SIR costs are extremely high and have ballooned since the 2016 rate case. PULP further reiterates its position from 2016 and in this case that requiring the Companies to bear a reasonable portion of those costs is necessary and would have caused KEDNY to work to avert or at least slow the ballooning of the cleanup costs. Instead, the allocation of 100% of SIR cleanup costs to ratepayers removed a strong incentive to control costs, in PULP's opinion. PULP discusses these concerns in greater detail below.

IV. REVENUES

A. Gas Sales Forecast

DPS Staff's Initial Brief ("IB") details the changes and adjustments to the Companies' gas sales forecasts that were made during this Rate Case proceeding. DPS Staff, IB pages 8-10. However, neither DPS Staff nor the Companies have updated the gas sales forecasts to account for the deepening economic dislocation caused by the COVID-19 health pandemic, as PULP has sought. The news media and industry publications are exploring how the decrease in power usage in high density cities, rural communities, and industrial centers is an indication of an economic recession due to COVID-19 and the social distancing measures,[1] but neither the Companies nor Staff have supported allowing such economic impact data into this case. Nonetheless, the reality of mass unemployment, extreme fiscal stress on government, and reduction of incomes must be contended with in every facet of governmental and regulatory actions to properly protect the public. As a result, PULP urges the ALJs to direct DPS Staff and the Companies to provide updated gas sales forecasts – and actual gas usage statistics from March 2020 to the submission of the RD for an Order -- in reaction to the severe economic effects of COVID-19.

Moreover, the ALJs can order KEDNY/KEDLI to issue "austerity rate plans" in this rate case, just as the ALJs did in their RD in Con Edison's 2008 rate case. *See*, Case 08-E-0539, Con Edison Electric Rates, Austerity Plan, May 26, 2009. There the Commission imposed an austerity adjustment in the electric rate case and directed Con Edison to provide a report detailing the utility's plans for achieving austerity. PULP believes that the issuance of "austerity rate plans" is an appropriate initial step that the ALJs and/or Commission should take in this and other active rate proceedings. Therefore, we respectfully urge the ALJs to order KEDNY/KEDLI to submit austerity plans to the Commission immediately, or within 30-days of the issuance of the RD.

B. Newtown Creek Imputation

PULP expressed concern in our Initial Brief regarding KEDNY's need to refresh the Newton Creek figures behind the renewable natural gas ("RNG") Project's imputation due to the

[1] *See*, "Another Way Another Way to See the Recession: Power Usage Is Way Down", by Quoctrung Bui and Justin Wolfers, April 8, 2020; https://www.nytimes.com/interactive/2020/04/08/upshot/electricity-usage-predict-coronavirus-recession.html?referringSource=articleShare.

COVID-19 pandemic, as well as the need for increased communication with the community regarding the RNG Project. PULP IB, at 13. DPS Staff's Initial Brief detailed that they were similarly "concerned with the overall cost of the project and the resulting ongoing annual revenue requirement impact to customers." DPS Staff, IB at 12. Moreover, DPS Staff detailed the long history of delays surrounding KEDNY's efforts to get the RNG project online. *Id.* at 11-14. KEDNY has proposed leaving the entire cost of the RNG Project in rates, to be completely paid for by ratepayers. Companies, IB at 17. PULP finds this completely unacceptable. The Companies' customers should not cover the entire cost of this often delayed and increasingly expensive Project.

During the Evidentiary Hearing, KEDNY indicated that it expected the RNG project to go online in April or May of 2020. DPS Staff, IB at 11. However, KEDNY's Initial Brief provided no status update regarding the timeframe for when the RNG project will go online. Companies, IB at pages 16-20. PULP is concerned that the COVID-19 pandemic will result in further delays in the RNG project, resulting in higher project costs that will be passed along to the ratepayers, as has occurred with prior delays. As a result, we once again urge the ALJs to determine that KEDNY should receive no recovery on this project throughout the rate plan resulting from this proceeding. If despite the project's history of delay and ballooning expense it is allowed to continue and for costs to be recovered from ratepayers, all such impacts from such investment should be deferred so there will be no bill impacts until New York's economy and the Companies' ratepayers have recovered from the effects of the conjoined public health and economic crises arising from the COVID-19 pandemic.

PULP additionally requests that the underlying forecasts and calculations imputed to the Newtown Creek project be refreshed in the record before a Recommended Decision ("RD") is issued. The Companies' customers should not assume the entire cost of the RNG Project, and particularly where the data underlying the Companies' request is known to be inaccurate. We repeat therefore that PULP believes that the ALJs should order the Companies to absorb the entire cost of the Newtown Creek RNG Project.

Finally, the Companies make no mention in their Initial Brief that they will increase communications with local communities surrounding the Newtown Creek RNG Project. As a result, PULP echoes our request that the ALJs recommend to the Commission that KEDNY be

directed to remain in regular contact (at least quarterly) with the elected officials and community members residing in the neighborhoods within the operating proximity to the facility.

V. EXPENSES

A. Operation and Maintenance

1. Consultants to subsection to 7. Productivity

PULP has nothing further to add to subsections 1-7.

8. Uncollectible Expense (KEDNY and KEDLI)

a. The Commission Should Forecast Uncollectible Expense Using the Three-Year Average as Recommended by the Companies

See, XI. Customer Service, Subsection D, Collections, for PULP's response to this matter regarding uncollectibles and COVID-19.

9. Site Investigation and Remediation ("SIR") (KEDNY and KEDLI)

PULP disagrees with the Companies' arguments rejecting PULP's recommendation that SIR costs be shared by the Companies. Companies, IB, at 60-61. The Commission's "Generic SIR Order," 11-M-0034, is clear that the choice was made with the Order's issuance, not to

> "adopt a generic policy requiring allocation of SIR expenses between ratepayers and shareholders.... we retain the flexibility to tailor the rate treatment of SIR costs to the concrete conditions of each utility." *See*, Generic SIR Order at 2-3.

As a result, DPS staff has specifically received discretion to recommend alternative sharing of SIRs.

Moreover, the two "circumstances" the Companies point to in justifying their position that sharing may be appropriate but not applicable to KEDNY, were never meant by the Commission to be exclusive. Instead, the Generic SIR Order specifically states:

> "*We do not shut the door to sharing under specific company and rate case circumstances.* We anticipate *at least two such circumstances*. First, sharing of some proportion may serve as an incentive to constrain SIR costs for utilities that appear to need such an incentive. Second, some stockholder responsibility for SIR

> costs could be included as part of the negotiation for rate plans where an earnings sharing mechanism is contemplated. In these cases, an earnings sharing mechanism may funnel some percentage of shareholder excess earnings to SIR costs. We expect Staff and other parties to explore opportunities aggressively to allocate some proportion of excess earnings to pay down deferred SIR costs." (Emphasis added, Generic SIR Order at 3).

DPS staff has the flexibility to be aggressive and look for cost sharing in any rate case. This is especially important for KEDNY due to its involvement with the massively polluted Newtown Creek and the Gowanus Canal superfund sites. PULP's Testimony, cross examination during the Evidentiary Hearing and our Initial Brief clearly lay out a history of skyrocketing SIR costs over many years of inaction or limited action by KEDNY; which strongly suggests that costs are only going to continue to increase for both the Newtown Creek and Gowanus Canal sites. PULP, IB at 16-19. Now is the time for the DPS Staff to use the flexibility the Generic SIR Order provides to rein in out of control cost increases. As a result, PULP urges the ALJs to recommend to the Commission that KEDNY share in the SIR costs.

When PULP filed its initial testimony on August 31, 2019, there was an assumption that this case would result in a multi-year settlement. As a result, William Yates proposed that the Companies allocate 100% of KEDNY's share of earnings-sharing to reduce deferred SIR costs. Hearing Transcript ("HT"), 1629, lines 6-9. Due to the fact that this case was fully litigated and will result in a one-year rate plan wherein earnings sharing mechanisms are not often proposed, PULP supports DPS Staff's proposal that an earnings sharing mechanism containing an allocation of SIR costs to KEDNY be imposed, if the Companies decided to stay out without filing a new rate case after one year. DPS Staff, IB at 162-163. Such an action would incentivize the companies to file their new case soon and provides a framework for the ALJ's to recommend that the Commission order KEDNY to share in the SIR costs it is producing, rather than placing this financial burden solely on their ratepayers.

10. Savings (Accelerate Program) to subsection 11. Paving

PULP has nothing further to subsections 10-11.

12. Safe Staffing Levels

As the COVID-19 health pandemic continues to create unexpected impacts, PULP has concerns regarding KEDNY/KEDLI's ability or willingness to maintain appropriate staffing levels for both line workers and customer service representatives. As a result, PULP encourages the ALJs to recommend to the Commission that KEDNY/KEDLI provide weekly staffing figures to the Commission until the moratoria on terminations has been suspended, and thereafter monthly for at least one year for the purpose of ensuring that the Companies are able to operate their gas systems in a safe and reliable manner. PULP will also be making this recommendation to the Commission for uniform adoption by all of New York State's regulated utilities who provide vital service to customers. Protecting operations and ratepayers is essential during these uncertain times.

B. Amortization of Regulatory Deferrals to section D. Property Taxes.

PULP has nothing further to add in sections B-D.

E. Amortization of Excess Accumulated Deferred Federal Income Taxes: Timing of Amortization/Return to Ratepayers of Annual Excess Deferred (EDFIT) for Unprotected Plant and Non-Plant Balances.

In DPS Staff's Initial Brief, they encouraged the rejection of PULP's proposal to return the entire unprotected excess ADIT in the Rate Year. DPS Staff, IB at 92. DPS staff acknowledged that this proposal would significantly decrease the Companies' revenue requirements but indicated that it was their opinion that it would create significant rate shock when rates *must* increase in the following period to account for the exhaustion of these credits. *Id*. Setting aside for the moment DPS Staff's opinion that rates "must" and will increase, and that potential future harm somehow outweighs actual current financial distress, PULP disagrees. The excess unprotected EDFIT is ratepayer money. It is inequitable and unreasonable to withhold it from being used now to dispel ratepayer harms caused by the COVID-19 health pandemic, instead of being saved to moderate future escalating rates to which Staff may agree.

PULP advocated in our Initial Brief for the unprotected EDFIT monies from unprotected plant and non-plant balances to be split in two ways. First, one-half of the monies should be allocated to the low-income residential customers' Affordability Program so that they might be able to pay some of their bills during the emergency, keeping arrears levels of vulnerable

households from increasing beyond any likelihood of their being able to be paid. Using the EDFIT monies in that manner would also provide such customers with greater discounts within the program without exceeding the 2% utility revenue threshold. PULP, IB at 20-21.

The second half of the unprotected EDFIT monies should then be divided in half, with 50% being used as added rate moderation in the one-year rate plan resulting from this case. The other 50% should be used at the end of the public health emergency and moratoria to pay down the arrears/uncollectibles accrued during the moratoria. *Id*.

Ordering the Companies to divide and return the EDFIT monies during the rate plan not only protects the Companies' most vulnerable current customers and customers newly entering low-income status, and protects the Companies at least in part from the effects of ballooning arrears and uncollectibles, but is also consistent with a rational and equitable use of the funds while returning net ratepayer funds as rapidly as is practicable. As a result, PULP urges the ALJs to recommend this plan for division and return of the EDFIT monies to the Commission as a measure to assist the Companies' most vulnerable customers during this unprecedented economic downturn.

F. Amortization of Expenses to section G. CSC O&M Tracker

Please note, PULP has nothing further to add in sections F-G.

VI. RATE BASE ISSUES

A. Capital Projects and Expenditures through section D. Earnings Base Capitalization /Working Capital - City/State Construction Accounts Receivable Balance

PULP has nothing further to add in sections A-D.

VII. FINANCIAL ISSUES

A. Return on Equity

1. ROE Methodology to subsection 5. ROE Recommendation

PULP has nothing further to add to subsections 1 to 5.

6. Impact of COVID-19 and Oil Price Decreases on Cost of Capital

PULP supports DPS Staff's recommendation that because of COVID-19, the Commission can,

> "… update the inputs to Staff's cost of equity methodology using the most recent financial data available. The very earliest that such data will be available is May 15, 2020....the Commission can choose to update the inputs at the time it makes its decision in these proceedings. These prospective updates, should the Commission choose to pursue them, will enable the Commission to tailor the Companies' ROE to evolving economic conditions to provide sufficient returns based on these changed conditions." DPS Staff, IB at page 155.

PULP believes that the COVID-19 pandemic has caused many external economic factors to have changed including but not limited to the cost of capital. As a result, PULP believes that the data behind the recommended ROE should be refreshed and ultimately, the Company's requested revenue requirement should be substantially lowered. A recalculation on May 15, 2020, or when the latest data is available prior to the proffering of the RD to the Commission, or prior to the Commission's Order, is a reasonable way the Commission can assure that the revenue requirement is accurate.

7. Rate of Return/Cost of Capital

PULP has nothing further to add to this subsection.

B. Capital Structure

In theory, PULP agrees with DPS Staff's recommendation to base the equity ratio on the utility holding company, not the subsidiary, capital structure. DPS Staff, IB, at 157. However, our agreement with relation to Staff's proposed capital structure relies upon the figures for both the return on equity and long-term debt costs being updated to reflect the collapse of interest rates and oil prices, among other relevant economic indicators, since the start of the COVID-19 crisis.

C. Long Term Debt: Forecasting Using Future versus Existing Rates

PULP agrees with DPS Staff and the Companies that "whatever interest rates is agreed upon or recommended in this case should be updated based upon interest rates and yield spreads in existence just prior to the Commission's decision." DPS Staff, IB at 159. Using the most current data is important for assuring accuracy in this rate case and in recognition of the severe financial impacts of COVID-19.

D. Credit Metrics

PULP has nothing further to add.

E. Earnings Sharing Mechanism

1. The Commission Should Reject the Companies' Proposed Metrics

PULP remains concerned about KEDNY/KEDLI's proposed "Affordability Metric," and appreciates DPS Staff's agreement with our concern that the Metric would "result in unintended consequences, such as on the Companies' terminations practices." DPS Staff, IB at 206. Further, PULP concurs with DPS Staff's concerns that

> "This metric is contrary to the Track Two Order, which had considered EAMs specifically related to low income customer affordability but determined that such outcomes are better addressed by other non-EAM means. Additionally, the Companies' proposed targets are inappropriately low." *Id*.

Moreover, considering the potential tidal wave of terminations resulting from the future lifting of the moratorium on terminations, any policies that could result in increasing terminations must be prevented, and these and other utilities should not receive quasi-performance-based compensation for potentially adding to the distress of unprecedented numbers of vulnerable New Yorkers. Therefore, PULP urges the ALJs to reject the Companies' proposed "Affordability Metric."

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

A. ECOS Study to section C. Long Term Debt: Forecasting Using Future versus Existing Rates

PULP has nothing further to add in sections A to C.

D. Bill Impacts

Having accurate, current, and comprehensive bill impact analyses is always important and more so now. The COVID-19 health pandemic has resulted in unprecedentedly rapid increases in unemployment numbers. New Yorkers living in KEDNY/KEDLI's service territory are at the epicenter of the pandemic, and added to their current financial distress, they have already recently been financially harmed – and employment lowered – by KEDNY and KEDLI's moratorium on gas connections and reconnections.

In PULP's Initial Brief, we laid out our theory that this rate case proceeding involves several other factors that effectively create higher rates for residential customers than the Companies or DPS Staff have included in their projected bill impacts. These include SIR costs, financial expenses relating to the self-imposed moratorium on natural gas, the Companies' receipt of overly generous EAMs, and more. As a result, PULP urges the ALJs that these additional factors be provided proper consideration and ultimately, that no rate increase be provided at this time, due to the COVID-19 pandemic. However, if a rate increase were to be ordered, PULP urges that the total bill impacts be no more than a 2% increase and that such increase should be paused or otherwise deferred until the health pandemic has subsided and the Companies have filed austerity plans with the Commission.

E. Non-Firm Service Classes to D. Lost and Unaccounted for Gas:

PULP has nothing further to add.

IX. GAS POLICY AND ENERGY

A. Energy Efficiency to section R. Proposed Changes to Supply Planning Process.

PULP has nothing further to add.

X. GAS SAFETY

A. Performance Metrics to section F. Service Line Inspections

PULP has nothing further to add.

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics; Performance measures in a one-year case

PULP supports DPS Staff's position that the customer service quality performance metric ("SQPM") is an important mechanism due to "the uncertainty of the Companies' future performance." DPS Staff, IB at 245. The purpose for the SQPM being that "Staff cannot speculate or predict the level of performance the Companies will provide." *Id*. PULP sees the future lifting of the COVID-19 moratoria as a sensitive time in history where the regulated utilities operating in New York State will need special monitoring for how the end of the moratoria results in the treatment of their customers. The potential for grave harm to vulnerable ratepayers such as the Companies' "elderly, blind and disabled" households, and to low-income households, reinforces the need for strong consumer protections when it comes to KEDNY/KEDLI's performance in the rate year resulting from this proceeding, and until the economic effects of COVID-19 no longer weigh down the economy. As a result, PULP urges the ALJs to recommend using DPS Staff's targets and SQPM.

B. Terminations/Uncollectible Incentive Mechanism

A meticulously designed terminations/uncollectibles incentive mechanism metric creating "stretch goals" for KEDNY and KEDLI will be more important in the rate year resulting from this proceeding than ever before. KEDNY/KEDLI customers residing in downstate New York are at the epicenter of the COVID-19 health pandemic; Brooklyn and Queens, for example,

have reported over 3,000 cases by March 19, 2020.[2] By April 15, 2020 Kings County, Brooklyn reported 2,308 deaths, Queens County reported 2,042 deaths, Richmond County reported 362 deaths and Suffolk County, Long Island reported 617 deaths.[3]

Record unemployment claims are being filed in New York State with over 800,000 applications submitted to the Department of Labor by April 9, 2020 with more applications to be expected every week.[4] How these customers will be able to pay their utility bill during or after this public health emergency and steep recession is beyond one's ability to guess, particularly when a significant number of such customers are expected to come out of the COVID-19 moratoria in substantial arrears and faced with imminent if not immediate terminations (and potentially evictions or foreclosures). At a minimum though, the unemployment statistics clearly show the need for stronger protections against terminations, and stronger action to ensure affordability.

PULP remains unpersuaded by either the Companies' or DPS Staff's proposals to address terminations. Companies, IB at 276; DPS Staff, IB at 249. If anything, the COVID-19 pandemic reinforces PULP's proposal advanced in our Testimony and Initial Brief by providing added justifications for modifications to the terminations/uncollectibles metric for the purpose of creating actual "stretch goals" for the Companies. PULP, IB at 32. Moreover, PULP urges the ALJs to recommend using the most recent data available, preferably at the time the Commission issues its order in this case, to set the final targets. Together, these measures will provide additional guardrails when it comes to KEDNY/KEDLI's actions in relation to its' customers following the moratoria on utility terminations.

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[2] *See*, New York Times, *New York City Region Is Now an Epicenter of the Coronavirus Pandemic*, by Jesse McKinley, March 22, 2020,
at: https://www.nytimes.com/2020/03/22/nyregion/Coronavirus-new-York-epicenter.html

[3] *See*, New York State Department of Health COVID-19 Tracker, Fatalities, April 15, 2020:
https://covid19tracker.health.ny.gov/views/NYS-COVID19-Tracker/NYSDOHCOVID-19Tracker-Fatalities?%3Aembed=yes&%3Atoolbar=no&%3Atabs=n&utm_source=First+Read+Newsletters&utm_campaign=0131e2acea-EMAIL_CAMPAIGN_2020_04_15_04_44&utm_medium=email&utm_term=0_252d27c7d1-0131e2acea-34689708&mc_cid=0131e2acea&mc_eid=a33f920bc7

[4] *See*, abc7News, "Coronavirus News: New York jobless claims skyrocket to over 800,000", April 9, 2020, located at: https://abc7ny.com/careers/new-york-jobless-claims-skyrocket-to-over-800000-total/6090394/. See also, Bloomberg News, "New York Seeks $4 Billion Loan for Surging Unemployment Claims,"
https://www.bloomberg.com/news/articles/2020-04-20/new-york-seeks-4-billion-loan-for-surging-unemployment-claims.

C. **Credit/Debit Card Payments and Fees**

PULP has nothing further to add.

D. **Collections**

1. Customer Communications in Bill Inserts Regarding HRA/DSS Status Changes and Other Explanations

PULP disagrees with DPS Staff's position that responsibility for tracking of customer public assistance benefits should lie with the New York State Office of Temporary and Disability Assistance, the New York City Human Resources Administration, or the County Department of Social Services. DPS, IB at 258. Utilities are responsible under the public service law for their billing and for assuring that bills are accurate. This includes credits or adjustments that appear on a customer's bill. Contrary to Staff's position therefore, PULP argues that if an amount appears on the customer's bill it is KEDNY/KEDLI's duty to adequately explain what that amount is.

2. Automatic Suspension of Collection/Extension of Time to Pay for Customers on Public Assistance

Considering COVID-19's drastic economic affects, PULP asserts the ALJs should accept this proposal for the purpose of assisting KEDNY/KEDLI's most vulnerable customers.

3. Deferred Payment Agreements: Implementation of electronic DPAs and reporting requirement; KEDNY requirement for customer physical appearance at customer service center to demonstrate need for more affordable DPA terms

a. Implementation of Electronic DPAs And Reporting Requirements

PULP will discuss the general use and implementation of electronic Deferred Payment Agreements ("E-DPA") in the following section where PULP reviews and rejects the requirement imposed by KEDNY only for customers to physically appear at a customer service center to obtain affordable DPAs.

PULP supports DPS Staff's proposal for quarterly reporting on the status of E-DPAs, including information regarding participation as well as a summary of any complaints and/or

inquiries received regarding E-DPAs. DPS Staff, IB at 253. While DPS may already have access to customer complaints that have been filed with the Department against KEDNY/KEDLI, DPS will not already have access to the number of questions or complaints directly received by the Companies but not filed with DPS. The E-DPA implementation process is a particularly important step for the Companies to take towards broadening their ability to work with many of their customers who need an affordable payment agreement. This will be especially true for the unknown number of KEDNY/KEDLI customers falling behind on their bills due to the harsh health and financial effects created by COVID-19. As a result, special attention by DPS staff and the public is warranted and encouraged through reporting requirements. PULP urges the ALJs therefore to include quarterly reporting of the information discussed herein, when making their recommendation to the Commission.

b. KEDNY Requirement that Customers Physically Appear at Customer Service Center to Demonstrate Need for More Affordable DPA Terms

PULP remains troubled by KEDNY's practice of making the enrollment of its customers into "affordable deferred payment agreements" contingent on the customer being able to physically complete a financial statement form at one of the Company's customer service offices. During the Evidentiary Hearing and in PULP's Initial Brief, PULP explored KEDNY's practice and determined that such a practice does not exist in KEDLI's territory where the same financial statement form can be completed over the phone. PULP, IB at 33-35. KEDNY has indicated that the implementation of electronic deferred payment agreements ("E-DPA") will assist with offering its customers the affordable DPA option as well as manual attempts, such as using mail or faxing of documents or referrals to customer service representatives, to work with KEDNY customers. Companies, IB at 248. However, the Company does not deny that KEDNY requires its customers, including elderly, blind and disabled customers, to appear in person at a customer service office. Nor is there any indication that it has ceased. If anything, KEDNY admitted to this practice in its Initial Brief by stating,

> "KEDNY customers can submit a standard DPA via mail, or *they can utilize any of the Company's multiple walk-in customer offices to provide the necessary documentation to support their need for more affordable DPA terms or to renegotiate the terms of existing DPAs*." Companies, IB at 248 (emphasis added).

Many customers who have fallen behind on their bills will struggle to afford the Companies' standard offer DPA, which requires a

> "... down payment up to 15 percent of the amount covered by the payment agreement or the cost of one half of one month's average usage, whichever is greater; unless such amount is less than the cost of one half of one month's average usage, in which case the down payment may be up to 50 percent of such amount." *Id.*

Many low- and moderate-income customers require a more affordable option when they are unable to pay their bills. KEDNY's requirement for such customers, and elderly, blind and disabled customers, to physically visit a customer service office is a major barrier, especially during the COVID-19 pandemic, when it is also a public health threat. PULP remains concerned that KEDNY's practice will continue if the Company experiences delays in implementing the E-DPA program. The Company has also linked the beginning of the E-DPA program to the computer system upgrade they are seeking in this rate case. PULP cannot opine on that linkage other than to note that vulnerable households should not be forced to make in-person visits to customer service offices to receive the affordable DPAs to which they are entitled by law.

Finally, delays of every kind are a reality in the current COVID-19 crisis and with the lifting of the moratoria on terminations expected at some point in the future, KEDNY's practice is completely unacceptable. PULP strongly urges the ALJs to recommend the immediate end of this practice to the Commission, as it will be a tremendous burden and unnecessary health risk for customers across KEDNY's territory who will face the risk of termination following the end of the COVID-19 moratoria.

c. Requirement to Provide Customers with Six-Year Billing History Within 30 Days of Request

PULP disagrees with DPS Staff's assertion that PULP's testimony and the record in this rate case does not "support that six years of billing data would benefit customers." DPS Staff, IB at 258. We stand by our Testimony, the cross-examination at the Evidentiary Hearing and our Initial Brief. In truth, KEDNY and KEDLI already have the legal requirement to save 6-years of billing data for each customer. *See*, Exhibit 627; HT at 1252. The issue is how long it takes to access such information and send it to its customers. HT at 1252-1254. Having an online portal

where all six-years of the information is stored will make it readily available to the customer and in the end, save employee time and produce efficiencies for the Company.

d. Post COVID-19 Collections Practices

PULP appreciates the Companies' recent suspension of collection activities, including service disconnections, to assist customers during the COVID-19 pandemic. *See*, Case 17-E-0238, et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service, Order Postponing Approved Electric and Gas Delivery Rate Increases and Updated Reduction to the Low Income Discount Credit and Temporarily Waiving Certain Tariff Fees (issued and effective March 25, 2020). However, more must be done, and not just by KEDNY/KEDLI. Instead, at the end of the shutoff moratoria there will need to be a state-wide uniform plan of action for each regulated utility to follow so that they can assist residential utility customers to emerge from the financial hardships they are facing during and for some as yet unguessable period after the COVID-19 pandemic. Such additional customer protection measures that should be considered include but are not limited to:

- Eliminating down payment requirements on deferred payment agreements ("DPAs");
- Allowing flexible/reasonable DPA terms based on the customer's ability to pay, even if the customer had a DPA previously but has broken it; and
- Prohibiting utilities from imposing late fees and engaging in negative credit reporting for a "set time" following the lifting of the COVID-19 moratoria;

PULP encourages the ALJs to recommend to the Commission that additional customer service protections be ordered in this rate case as applicable to KEDNY/KEDLI due to the COVID-19 health pandemic, along with the requirement to create an austerity plan as noted above.

E. Customer Service Enhancements: Creation of a Customer Portal

PULP remains unpersuaded by the Companies' arguments against our proposal to implement a customer billing data portal. PULP will not address each of the subset of issues

surrounding the need for a customer portal in this brief -- the need to improve communications regarding balance transfers; billing relating to elderly, blind and disabled customers; etc. – but it is apparent that due to the financial harm caused by COVID-19, enhanced customer communications and enhanced customer ability to dispute normally unexplained additions to bills should be a major aspect of KEDNY/KEDLI's practices reformed in this rate case. PULP, IB at page 35-40.

F. Outreach and Education to section Economic Development Programs

PULP has nothing further to add for subsections F-G.

XII. LOW INCOME PROGRAM

A. Calculating Discounts and Eligibility

PULP strongly agrees with the City of New York ("City") that the methodology for calculating the utility low-income program discount levels must be modified to achieve the 6% low-income customer energy cost burden as New York State policy directs. PULP, IB, at 40-41. PULP continues to support the argument that KEDLI should also use the City's methodology for calculating discounts; but that a household-level analysis should be used due to a lack of family-based data in the KEDLI service area equivalent to the data used by the City of New York in its analysis of the KEDNY service area. Additionally, PULP respectfully suggests the Commission needs to find as many methods for supporting residential customers as possible to assist them with the tidal wave of shutoffs and crushing piled up arrears that loom at the end of the termination moratoria currently in effect during the public health emergency.

Modifying the methodology used in the low-income program as proposed by the City will ensure KEDNY/KEDLI customers receive low-income program benefits that will help them achieve a 6% or less energy burden, as was intended by Case Number 14-M-0565, and may avert some of the growing arrears and increased terminations likely to occur at the end of the moratoria.

B. Budget and Low-Income Program Offerings to section H. Elimination of reconnection fees for Energy Affordability.

PULP has nothing further to add in subsections B-H

XIII. MANAGEMENT AUDIT COMPLIANCE

PULP has nothing further to add.

XIX. CONCLUSION

As discussed in this Reply Brief, PULP respectfully requests that the ALJs recommend to the Commission that it deny the Companies' requested rate increases. In the alternative, if the Commission determines it should allow a rate increase, PULP respectfully requests such an increase be limited to a rate increase with no more than a 2% total bill impact, with such increase being frozen or held in abeyance during the COVID-19 public health emergency, either through use of the Commission's temporary rate making powers under § 114 of the PSL, or such other tool(s) as may be necessary or convenient. And PULP asserts that parties should be given the opportunity to present economic impact evidence to the Commission, or DPS Staff should be directed to do so along with a refresh of the record, before the Commission acts.

PULP additionally reiterates our concerns that the calculations, forecasts and general economic assumptions underlying both the Companies' and Staff's proposals in this proceeding are based upon numbers that are no longer accurate and of "rate case quality," and requests the ALJs to order the Company and Staff to refresh at a minimum the underpinnings of the revenue requirement request. Further, PULP respectfully requests that the ALJs require the Companies to take such actions as will improve their customer service procedures to account for the aftermath of the COVID-19 health pandemic. There needs to be a plan in place now that will adequately help residential customers pay their utility bills without the immediate risk of termination of service. And, there needs to be a plan that will protect ratepayers from the tidal wave of terminations coming at the end of the moratoria. PULP therefore suggests here that KEDNY/KEDLI, DPS Staff, PULP and other interested parties need to work together to see that a plan of action is in place to help curb the financial harm ahead.

Finally, PULP reiterates here that it is explicitly reserving the right to object pursuant to 16 NYCRR § 4.7(d) through this reply brief to the Administrative Law Judges' ("ALJs") April 7, 2020 denial of our Motion in this case. While we are not required to show extraordinary

circumstances as is true under 16 NYCRR 4.7(a), we asserted in our motion that absent a refresh of the record, the Commission would be denied data that directly related to its ability to assess whether or not the proposed revenue requirement and rates were in the public interest. The standard applied by the Commission is when "the Commission examines the information being sought to determine if exclusion of the information from the record would render the Staff and the Commission unable to conduct the analysis called for by the relevant provision of the PSL or whether the information may serve as the basis for the Commission's decision in the proceeding." Case 07-M-0906, Order Denying Part and Granting in Part Staff Interlocutory Appeal, Issued March 19, 2008, at 14. PULP asserts therefore that such standard was met in its motion by the categories of data sought to be included into the record.

Additionally, PULP asserts that the ALJs made an error of legal analysis when they concluded that the evidence arising from a refresh of the record might somehow be more speculative than data known at the date of the motion's filing to be no longer accurate. While the Company and Staff might err in their good faith efforts to describe and analyze a rapidly devolving situation as we requested in the motion, such efforts still are more likely to allow the Commission to discern the public interest than using data that is known to be erroneous and dated. PULP respectfully objects therefore to the ALJs ruling.

Dated: April 21, 2020

Respectfully submitted,

/s/

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